MIT ZARAGOZA
International Logistics Program

MZ530 Financial Systems 2026/2027

Assignment #1

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- **Individual assignment. Each student should submit only one file (pdf format)**
- **Due: Sep 29th (Tue): 08.30 am**
- **Please submit you work online via Canvas (.pdf file named MZ530 HW1 Name)**
- **Please be brief and precise in your answers.**

Problem 1. Inditex's financial report (Max Points 30)

Instructions:

- You do not have to read the whole document; skimming parts should be enough to find the information you are looking for.
- There is no limit for the extension of your answers, but please be concise, and go directly to the point.

From the company's site, get access to Inditex Group latest annual financial report (FY2025, see link below; pages 17-26) and answer (briefly) the following **questions**:

https://www.inditex.com/itxcomweb/api/media/59f58f71-301d-4a50-85a6-0441fb9f37c5/ENGL-CCAAeIGGrupo2025.pdf?t=1773650984481

1. Look at the balance sheet. Calculate the Net Operating Assets (NOA) for the last fiscal year (NOA = Accounts Receivable + Inventory – Accounts Payable). Consider as receivables (payables) only the "Trade and other Receivables (Payables)" in the firm's Balance Sheet.
2. Based on the firm's NOA figure, what can you infer about the company's financing needs to run its operations?
3. Look at the income statement. Now express each line as a percentage of total net sales. What do you see? Specifically:
   a. What is the amount of assets depreciated?
   b. How large is the net margin? How large is it compared to H&M's?
4. Look at the statement of cash flows. What can you infer about the sources and usages of cash in Inditex?

Problem 2. Financial accounting rules (Max Points 10)

Read the following "note to consolidated financial statements" on the 10K report of "The Gap, Inc.":

> **Merchandise Inventory**
>
> *In fiscal 2005, we implemented a new inventory system and effective January 29, 2006 (the beginning of fiscal 2006), we changed our inventory flow assumption from the first-in, first-out ("FIFO") method to the weighted-average cost method. The change in inventory accounting method did not have a material impact on the fiscal 2006 Consolidated Financial Statements and, because the effect on prior periods presented is not material, they have not been restated as would be required by Statement of Financial Accounting Standards No. ("SFAS") 154, "Accounting Changes and Error Corrections." We review our inventory levels in order to identify slow-moving merchandise and broken assortments (items no longer in stock in a sufficient range of sizes) and use markdowns to clear merchandise. We value inventory at the lower of cost or market and record a reserve when future estimated selling price is less than cost.*

Questions (your answers to both questions should not exceed 200 words):

a. Who decides what "a material impact" is? How important is the reputation of the auditing firm for an outsider that reads the financial report?

b. Why would it make sense to value inventory at the lower of cost or market? What is the underlying accounting principle that motivates this decision?

Problem 3. Inventory cost flow assumption I (Max Points 10)

Please solve Problem 11 in Chapter 8 from the textbook "Practical Finance for Operations and Supply Chain Management" (MIT Press, 2020).

Problem 4. Inventory cost flow assumption II (Max Points 20)

Please solve Problem 13 in Chapter 8 from the textbook "Practical Finance for Operations and Supply Chain Management" (MIT Press, 2020).

Problem 5. Inventory valuation in manufacturing (Max Points 30)

Please solve Problem 14 (only part a) in Chapter 8 from the textbook "Practical Finance for Operations and Supply Chain Management" (MIT Press, 2020).